

S H E R P A I

Insights Framework

Metrics Definition & Methodology Guide

MVP Edition — QuickBooks · Salesforce · HubSpot

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1. What This Document Is

This guide is the definitive reference for the SherpAI insights framework, written entirely in plain English. Every metric the engine tracks is explained the same way: what it measures and why it matters, how it's calculated in words rather than symbols, what the number looks like, where the data comes from, how often it refreshes, exactly when it raises a flag, and what to do when it does.

Each metric has a permanent ID, like VC-01 or CB-05. The IDs never change or get reused, so a conversation, a dashboard, and this document are always talking about the same thing. When one metric feeds another (for example, the retention rate feeding the lifetime-value calculation), the specification says so by ID.

A separate technical edition exists for the development team, with the exact database formats, field names, and formula notation. The two editions describe the identical framework — this one just says it in sentences.

This MVP Edition covers the twenty-one metrics fully served by the three MVP connectors — QuickBooks, Salesforce, and HubSpot Marketing Hub: eleven Value Creation metrics, three Capital & Balance Sheet metrics, and seven Customer & Market metrics. Metric IDs, definitions, and thresholds are identical to the full framework (v1.1) — nothing is renumbered or redefined — so a company graduates to the full framework without remapping anything. Metrics requiring the bank-feed, payroll, cap-table, market-data, document-pipeline, or survey connectors are deferred; the full deferred list lives in Appendix A. One manual input remains in the MVP: operating-plan targets (the revenue plan and the MQL plan), entered by template — configuration, not a connector.

1.1 How to read a metric page

Every metric follows the same ten-row layout. “How it's calculated” walks through the arithmetic in words. “What the terms mean” pins down anything ambiguous — what counts as churn, what “fully loaded” includes. “When it raises a flag” describes the two alert levels: a Watch (amber) flag means keep an eye on this, and an Act now (red) flag means it needs attention this week. A few metrics raise Opportunity flags instead — good news the engine spots, like refinancing savings. “Worth knowing” collects the fine print that usually lives only in someone's head.

2. Ground Rules That Apply Everywhere

2.1 The metric families

ID prefix	Family	How many
VC	Value Creation — the P&L: revenue, margins, costs, valuation quality	11 metrics in the MVP (of 15 in the full framework)
CB	Capital & Balance Sheet — liquidity and working capital	3 metrics in the MVP (of 15)
CM	Customer & Market — concentration, competitive position, pipeline, and marketing effectiveness	7 metrics in the MVP (of 8)

The Risk & Compliance (RC) and Exit Readiness (ER) families are deferred in their entirety — they depend on the document pipeline and on connectors outside MVP scope. Their IDs remain reserved.

2.2 How numbers are expressed

- Percentages carry one decimal place — 94.3% — whether it's a retention rate, a margin, or a share of revenue.
- Multiples and ratios carry two decimals and an “x” — leverage of 4.25x, pipeline coverage of 2.40x.
- Dollar figures are kept to the cent and shown rounded for readability — \$1,250,000 might display as \$1.25M. Foreign amounts are converted at the official daily rate, with the original kept alongside.
- Interest-rate gaps are quoted in basis points: 100 basis points equals one percentage point.
- Time-based figures — months of runway, days to collect, quarters to a covenant breach — carry one decimal place.
- When a percentage appears inside a multiplication or division, use it as a decimal: a 70% gross margin enters a formula as 0.70, and 140 basis points enters as 0.0140. Formulas that need this say so on the spot.

2.3 Honest-numbers rules

- A blank is never a zero. If the data to calculate something is missing, the metric shows as “not computable” — it is never silently filled in with zero, which would look like an answer.
- Metrics that don't apply to a company — currency risk at a purely domestic business, inventory days at a services firm — are switched off and hidden, not shown as zero.
- Every figure is traceable: the record keeps which system it came from and when, so any number on any dashboard can be walked back to its source.
- Alerts stay quiet when the data behind them is shaky — too few survey responses, a known data-quality problem, or a sample too small to mean anything.

2.4 How the alerts work

After each metric refreshes — daily for the cash position, monthly or quarterly for most others, and as events happen for the document-driven ones — the engine checks its flag conditions. Three kinds of flag exist:

Flag	What it means	Where it goes
Act now (red)	A material risk or a path toward a breach — needs attention this week	Straight to the deal team, plus the weekly digest
Watch (amber)	A deteriorating trend or a threshold crossed — keep an eye on it	The weekly digest and a dashboard flag
Opportunity (blue)	Good news the engine spotted — refinancing savings, deployable excess cash, a structured-financing option	The opportunities stream and the monthly review pack

- No flip-flopping: once a flag fires, it doesn't clear until the metric has moved comfortably back past the line — not just barely across it — so alerts don't flicker on and off.
- Every threshold in this document is a default. Firms can set their own — per fund or per company — and each alert records the threshold that was actually in force.

3. Value Creation — The P&L

Eleven of the fifteen Value Creation metrics ship in the MVP — the revenue, margin, cost-discipline, and valuation-quality metrics that QuickBooks and Salesforce serve directly. The three revenue metrics share one underlying customer-by-customer revenue roll-forward, and the margin and cost metrics all read from the same standardized view of the company's books — so every number here reconciles with every other. Two MVP notes: peer-benchmark comparisons (VC-04, VC-09, VC-10) run against plan only until the market-data connector ships — a mode the metric definitions already provide for — and per-channel acquisition cost in VC-06 relies on HubSpot attribution and recorded campaign costs until the ad-platform connectors ship, so the blended figure is the headline. Deferred: VC-05 and VC-08 (payroll register), VC-11 (QoE documents), and VC-15 (market data).

VC-01 Gross Revenue Retention Rate (GRR)

Revenue — Retention

What it measures	Of the recurring revenue you started the period with, how much did you keep? Only losses count — customers who cancelled or downgraded. Upsells are ignored, so this number can never be above 100%. It is the purest measure of how durable the existing book of business is.
How it's calculated	GRR % = (Starting revenue – Cancellations – Downgrades) ÷ Starting revenue × 100 In words: Take the recurring revenue from all customers at the start of the period. Subtract the revenue lost to cancellations and the revenue lost to downgrades. Divide what's left by the starting revenue. Express as a percentage.
What the terms mean	Starting revenue — The monthly recurring revenue of every customer who was active on day one of the period. Cancellations — Revenue from customers who fully left during the period, measured at what they were paying at the start. Downgrades — Revenue given up by customers who cut seats, dropped to a cheaper tier, or reduced their commitment.
How it's expressed	A percentage with one decimal place. Always between 0 and 100.
Example	93.7%
Where the data comes from	QuickBooks: Invoice lines and recurring transactions, per customer. The customer-by-customer recurring-revenue roll-forward is built from these — and because invoices carry no explicit “downgrade” or “churn” event, both are inferred by comparing each customer's recurring invoice totals month over month. Where a portfolio company runs a dedicated billing platform (Stripe, Chargebee), that connector is on the roadmap and becomes the system of record when built. Salesforce: The churn records — Opportunities with Type set to “Churn,” or the churn-date field on the Account — used to explain why customers left. QuickBooks says how much; Salesforce says why.
How often it updates	Calculated every month; the alert check runs quarterly.

When it raises a flag	Watch (Amber): retention this quarter is lower than last quarter, or it falls below the benchmark for the sector (we use 90% unless the firm sets a different bar). Act now (Red): both of those happen in the same quarter.
What to do about it	Launch a targeted retention campaign; get to at-risk accounts before their renewal dates.
Worth knowing	Customers who joined mid-period are left out of the starting revenue (they had nothing to retain). The reason each customer left is stored alongside the number so the alert can say not just that retention slipped, but why.

VC-02 Net Revenue Retention Rate (NRR)

Revenue — Same-Customer Growth (Expansion)

What it measures	The same question as GRR, but now upsells count. If existing customers grew their spending by more than others cut back or left, this comes in above 100% — meaning the book grows on its own before a single new customer is signed.
How it's calculated	NRR % = (Starting revenue – Cancellations – Downgrades + Expansion) ÷ Starting revenue × 100 In words: Start with the recurring revenue at the beginning of the period. Subtract cancellations and downgrades, then add back any expansion — extra seats, upgrades, cross-sells. Divide by the starting revenue and express as a percentage.
What the terms mean	Expansion — New recurring revenue during the period from customers who were already on board at the start: more seats, higher tiers, additional products, or usage growth converted into committed spend. Everything else — Defined the same way as in VC-01.
How it's expressed	A percentage with one decimal place. Typically lands between 60% and 160%; there is no cap.
Example	108.4%
Where the data comes from	QuickBooks: The same invoice-derived roll-forward as VC-01 — month-over-month increases in a customer's recurring invoice totals are classified as expansion. Product usage data: Usage records by account, used to tell whether expansion came from customers naturally using more or from a sales-led upsell — and to spot accounts with room to grow.
How often it updates	Calculated and checked every month.
When it raises a flag	Watch (Amber): NRR drops below 100% in the latest period. Act now (Red): it stays below 100% for two quarters in a row, or falls below 90% in any single quarter.
What to do about it	Run the upsell and cross-sell playbook on the top accounts; review pricing and packaging.

Worth knowing	GRR, NRR, and the lifetime-value metrics all read from one shared customer-by-customer revenue roll-forward (starting revenue, expansion, downgrades, churn, ending revenue, per customer per month). Build it once and every retention metric reconciles to it automatically. In the MVP it is derived from QuickBooks invoice lines; when a company runs a dedicated billing platform, the roadmap billing connector becomes the source.
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VC-03 New-Logo Revenue Growth Rate

Revenue — New Customer Acquisition

What it measures	How fast revenue from brand-new customers is growing, period over period. This isolates the health of the acquisition engine from whatever is happening in the existing base.
How it's calculated	Growth % = (New-logo revenue this period – New-logo revenue prior period) ÷ New-logo revenue prior period × 100 Variance vs. plan (points) = Actual growth % – Planned growth % In words: Add up the first-year revenue from customers who signed for the first time this period. Compare it to the same figure from the prior period, and express the change as a percentage. Also compare the result to what the plan called for.
What the terms mean	New-logo revenue — Revenue from customers whose first-ever closed deal landed in this period. Renewals and win-backs don't count. Plan — The growth of the operating plan or budget expected for the period.
How it's expressed	A percentage with one decimal place; can be negative. The gap versus plan is stored in percentage points.
Example	22.5% growth; 8.3 points behind plan
Where the data comes from	Salesforce: Closed-won Opportunities with Type = “New Business,” using the Amount, Stage, and Close Date fields — checked against the Account's history to confirm the customer really is new. QuickBooks: The date of each customer's first invoice, used as a second check that a “new” logo isn't actually a returning or renamed customer.
How often it updates	Calculated monthly; the alert check runs quarterly against plan.
When it raises a flag	Watch (Amber): new-logo growth comes in more than 10% below plan for the quarter. Act now (Red): it misses plan two quarters running, or the growth rate itself declines two quarters in a row.
What to do about it	Move marketing spend to the channel that's producing; revisit the profile of the ideal customer.
Worth knowing	The hard part is knowing a customer is truly new — the same company can appear in the CRM three times under subsidiaries or old names. Deduplicate accounts before deciding who counts as a first-time win.

VC-04 Cost of Goods Sold % and Mix (Total, by Product, by Market)

Gross Margin — COGS %

What it measures	How much of every revenue dollar is eaten by the direct cost of delivering the product — overall, by product line, and by market. Breaking it down this way separates two very different problems: a product genuinely getting more expensive to deliver, versus revenue simply shifting toward lower-margin products.
How it's calculated	COGS % = Cost of goods sold ÷ Revenue × 100 (in total, and separately per product and per market) Mix % = Product (or market) revenue ÷ Total revenue × 100 In words: Divide cost of goods sold by revenue and express as a percentage — first for the whole company, then separately for each product line and each market. Also track the revenue mix: each product's (and market's) share of total revenue. When the overall margin moves, split the change into two pieces: the part caused by individual products getting cheaper or costlier to deliver (the “rate” effect), and the part caused by the sales mix shifting between products (the “mix” effect).
What the terms mean	Cost of goods sold — Everything the chart of accounts classifies as a direct delivery cost — hosting, third-party software inside the product, and support staff where the company books them there. Revenue — Net revenue after discounts, credits, and refunds. Product / market breakdown — The tags the accounting system already carries — classes, departments, or item categories.
How it's expressed	Percentages with one decimal place, kept separately for the total and for each product and market. The mix percentages across products must add to 100%.
Example	Company-wide 34.2%; the analytics product 28.9%, which makes up 41.5% of revenue
Where the data comes from	QuickBooks: The monthly Profit & Loss report, run by Class. Revenue comes from accounts of type Income; direct costs from accounts of type Cost of Goods Sold — both organized through SherpAI's standard account mapping (Appendix A). The product and market breakdowns come from the Class field on each transaction (or Location tracking, where the company uses it instead).
How often it updates	Calculated each month once the books close; the alert check runs quarterly.
When it raises a flag	Watch (Amber): the overall cost percentage rises versus last quarter, or sits above the peer benchmark for the sector. Act now (Red): the increase is driven mainly by products genuinely getting costlier to deliver (more than one point of “rate” effect) — that's structural cost inflation, not a mix quirk.
What to do about it	Renegotiate vendor and supplier contracts; steer the sales mix toward the higher-margin lines.

Worth knowing	Companies whose books carry no product or market tags get the company-wide number only — the breakdowns are marked “not available” rather than guessed at. The rate-versus-mix split is what makes the alert useful: “margin fell 1.8 points — 1.2 from costs, 0.6 from mix.”
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VC-06 Customer Acquisition Cost (CAC) & Payback Period

Operating Expense — Sales & Marketing

What it measures	What it costs, all-in, to win one new customer — overall and by marketing channel where the data allows — and how many months of profit from that new customer it takes to earn the cost back.
How it's calculated	CAC = Sales & marketing spend ÷ New customers won Payback (months) = CAC ÷ (Average new-customer monthly revenue × Gross margin) Use the gross margin as a decimal: a 70% margin enters as 0.70. In words: Divide total sales and marketing spend for the period by the number of new customers won. That's the acquisition cost. For the payback period: divide the acquisition cost by the gross profit an average new customer generates per month. The answer is in months.
What the terms mean	Sales & marketing spend — Sales compensation including commissions, marketing programs, marketing software, and allocated overhead. Optionally shifted back one period so spend lines up with the deals it produced (a setting, since sales cycles vary). New customers won — First-time customers, counted the same way as VC-03. Monthly gross profit per new customer — The average new customer's monthly revenue times the gross margin percentage from VC-04.
How it's expressed	Acquisition cost in dollars and cents; payback in months with one decimal place.
Example	\$18,450 to acquire; 14.6 months to pay back
Where the data comes from	Salesforce: New-customer counts and channels — the Lead Source field and the Campaign attached to each closed-won Opportunity. Ad platforms (Google, Meta, LinkedIn) plus QuickBooks: Channel-level ad spend from the platforms; total sales & marketing spend from the QuickBooks expense accounts classified as sales and marketing. Per-channel cost is only shown when at least 80% of spend can be traced to a channel — otherwise only the blended figure appears.
How often it updates	Calculated monthly once the books close; the alert check runs quarterly.
When it raises a flag	Watch (Amber): payback stretches past the target (18 months unless the firm sets otherwise), or lifetime value falls below three times acquisition cost (see VC-07). Act now (Red): both at once, or payback beyond 24 months.
What to do about it	Shift spend toward the best-performing channel; redesign the sales compensation plan.

Worth knowing	The blended number is the headline; the per-channel numbers feed the reallocation recommendation. Every alert notes whether spend was lagged, so readers know which convention produced the figure.
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VC-07 Lifetime Value to Acquisition Cost (New Customers)

Operating Expense — Sales & Marketing

What it measures	The total gross profit a newly won customer will generate over their expected life, compared to what it cost to win them. The classic unit-economics test: below 3-to-1, each marginal dollar of acquisition spend is probably destroying value.
How it's calculated	Lifetime value = Monthly revenue per new customer × Gross margin ÷ Monthly churn rate Both as decimals: a 70% margin enters as 0.70; 2% monthly churn enters as 0.02. Ratio = Lifetime value ÷ CAC In words: Estimate lifetime value: the average new customer's monthly revenue, times the gross margin percentage, divided by the monthly churn rate (which sets how long customers stick around). Divide that lifetime value by the acquisition cost from VC-06.
What the terms mean	Average monthly revenue per new customer — Across the customers won in the trailing twelve months. Monthly churn rate — Derived from the retention rate in VC-01, converted to a monthly figure. Acquisition cost — From VC-06.
How it's expressed	A ratio with two decimal places, shown with an "x" — as in 3.42x.
Example	3.42x
Where the data comes from	QuickBooks and Salesforce: No new raw data — everything is derived from the VC-01, VC-04, and VC-06 pipelines.
How often it updates	Calculated monthly; the alert check runs quarterly.
When it raises a flag	Watch (Amber): the ratio falls below 3.0x, or it's above 3.0x but has declined two quarters in a row. Act now (Red): below 2.0x.
What to do about it	Rethink acquisition spend; revisit pricing, onboarding, and early-tenure retention.
Worth knowing	When churn is essentially zero, the lifetime-value math would produce an infinite number — so modeled customer life is capped at seven years, and the record notes the cap was applied.

VC-09 G&A as % of Revenue

Operating Expense — G&A Cost Discipline

What it measures	Back-office cost — accounting, legal, finance, HR, IT, facilities — as a share of revenue. The primary measure of overhead discipline.
How it's calculated	$\text{G\&A \%} = \text{G\&A expense} \div \text{Revenue} \times 100$ In words: Divide general & administrative expense by revenue and express as a percentage.
What the terms mean	G&A expense — The accounts the chart-of-accounts mapping classifies as G&A. One-time items like deal fees can be tagged and excluded via a setting.
How it's expressed	A percentage with one decimal place.
Example	11.4%
Where the data comes from	QuickBooks: The Profit & Loss report — the expense accounts classified as general & administrative under the standard account mapping.
How often it updates	Calculated monthly; the alert check runs quarterly.
When it raises a flag	Watch (Amber): G&A runs above the peer benchmark for companies of similar size and sector, or more than one point over plan. Act now (Red): both, for two quarters running.
What to do about it	Review back-office functions for outsourcing and automation opportunities.
Worth knowing	Peer benchmarks come from the licensed market-data feed, matched on sector and revenue size. Where no benchmark exists, the check runs against plan only, and the record says so.

VC-10 EBITDA Margin Trend

EBITDA — Margin Trend

What it measures	EBITDA as a share of revenue, tracked against plan and against the peer set. The headline profitability figure — the one valuation and covenants both hang on.
How it's calculated	$\text{EBITDA} = \text{Operating income} + \text{Depreciation} + \text{Amortization}$ $\text{EBITDA margin \%} = \text{EBITDA} \div \text{Revenue} \times 100$ In words: EBITDA is operating income with depreciation and amortization added back. Divide it by revenue for the margin, and compare the margin to plan and to peers.
What the terms mean	Operating income — Revenue minus cost of goods sold minus all operating expenses, from the P&L. Depreciation & amortization — The D&A accounts on the books, including any D&A sitting inside cost of goods sold.
How it's expressed	The margin as a percentage with one decimal place (can be negative); the EBITDA dollar figure is stored alongside it.

Example	18.6% margin, 2.1 points below plan
Where the data comes from	QuickBooks: The Profit & Loss report. EBITDA is always built from the raw accounts — operating income plus the depreciation and amortization expense accounts — never taken as a pre-calculated figure, so the definition is identical across every portfolio company.
How often it updates	Calculated monthly; checked monthly against plan and quarterly against peers.
When it raises a flag	Watch (Amber): margin more than one point below plan this quarter, or shrinking two quarters in a row. Act now (Red): more than three points below plan, or more than five points below the peer median.
What to do about it	Run a cross-functional cost review; separate one-time hits from structural erosion.
Worth knowing	Every EBITDA alert should arrive with its cause attached — the engine breaks the margin move into its gross-margin, payroll, sales & marketing, and G&A components using VC-04, VC-05, VC-06, and VC-09.

VC-12 Recurring Revenue % of Total

Valuation — Revenue Quality

What it measures	The share of revenue that is contractually recurring — subscriptions and multi-year contracted services — versus one-off. One of the biggest single drivers of the valuation multiple.
How it's calculated	Recurring % = Recurring revenue ÷ Total revenue × 100 In words: Divide recurring revenue by total revenue and express as a percentage.
What the terms mean	Recurring revenue — Revenue accounts tagged as recurring in the chart-of-accounts mapping: subscriptions, software, maintenance, contracted multi-year services. One-time services, hardware, and uncommitted usage are non-recurring.
How it's expressed	A percentage with one decimal place.
Example	78.2%
Where the data comes from	QuickBooks: The income accounts tagged as recurring in the standard account mapping, double-checked against invoice lines at the customer level.
How often it updates	Calculated monthly; the alert check runs quarterly.
When it raises a flag	Watch (Amber): the recurring share falls two quarters in a row. Act now (Red): it falls more than five points over the past year.
What to do about it	Prioritize recurring product lines; revisit the go-to-market mix.

Worth knowing	Which accounts count as recurring is decided once at onboarding and reviewed annually. Any change to the tagging is versioned so history is never quietly rewritten.
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VC-13 Revenue Growth Rate (Recurring vs. Non-Recurring)

Valuation — Revenue Quality & Growth

What it measures	Total revenue growth, split into its recurring and one-off components and compared to plan. Durable growth and lumpy growth are worth very different multiples — this tells them apart.
How it's calculated	Growth % = (Revenue this period – Revenue prior period) ÷ Revenue prior period × 100 (for total, recurring, and non-recurring) In words: Calculate the growth rate for total revenue, for recurring revenue, and for non-recurring revenue — each as the change from the prior period, expressed as a percentage. Year-over-year is the headline; quarter-over-quarter feeds the trend check.
What the terms mean	The revenue splits — Per the recurring tagging in VC-12.
How it's expressed	Percentages with one decimal place; any of them can be negative.
Example	Total up 18.4% year over year; recurring up 24.1%; non-recurring down 3.2%
Where the data comes from	QuickBooks: Same feed as VC-12.
How often it updates	Calculated monthly; the alert check runs quarterly.
When it raises a flag	Watch (Amber): total growth lands more than 10% below plan, or recurring revenue grows slower than total (meaning the mix is degrading). Act now (Red): growth misses plan two quarters running while the recurring share (VC-12) is also falling.
What to do about it	Prioritize recurring lines; rebalance go-to-market investment.
Worth knowing	Growth rates on a tiny non-recurring base bounce around meaninglessly — when non-recurring revenue is under 5% of the total, that series is excluded from alerts.

VC-14 Customer Lifetime Value to Acquisition Cost (Whole Base)

Valuation — Customer Economics

What it measures	The same lifetime-value-to-cost comparison as VC-07, but measured across the entire active customer base rather than just the newest customers. Used as a valuation-quality signal for the whole book.
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How it's calculated	Lifetime value = Average monthly revenue per customer × Gross margin ÷ Monthly churn rate (whole base; margin and churn as decimals) Ratio = Lifetime value ÷ CAC (trailing 12 months) In words: Estimate lifetime value using the average revenue and churn of all active customers, then divide by the trailing-twelve-month acquisition cost.
What the terms mean	Base-wide revenue and churn — Computed across every active account from the shared revenue roll-forward. Acquisition cost — From VC-06, on a trailing-twelve-month basis.
How it's expressed	A ratio with two decimal places, shown with an “x”.
Example	4.10x
Where the data comes from	QuickBooks and Salesforce: Derived entirely from the VC-01 and VC-06 pipelines.
How often it updates	Calculated quarterly.
When it raises a flag	Watch (Amber): the ratio has fallen two quarters in a row and is closing in on the 3.0x floor (at or below 3.5x and falling). Act now (Red): below 3.0x.
What to do about it	Revisit the balance between acquisition spend and retention investment.
Worth knowing	The new-customer version (VC-07) and this whole-book version can move in opposite directions — every alert reports both and names which one is deteriorating.

4. Capital & Balance Sheet

Three of the fifteen Capital & Balance Sheet metrics ship in the MVP — the liquidity and working-capital metrics QuickBooks can serve on its own. CB-05 runs in its QuickBooks mode, defined on the metric page itself: balances come from the bank-type accounts on the Balance Sheet and are marked as the lower-grade source until the bank-feed connector (Plaid) ships, at which point the same metric upgrades in place. Deferred: the leverage, debt-mix, covenant, capital-allocation, and rate/currency metrics (CB-01 to CB-04, CB-06, CB-08, CB-09, CB-11 to CB-15), which require the credit-agreement document pipeline, the maintained debt schedule, bank feeds, market data, or treasury records.

CB-05 Cash Position & Runway

Liquidity — Cash Position

What it measures	How much freely available cash the company holds, and how many months it lasts at the current burn rate. The most time-critical number in the entire framework — the only one checked daily.
How it's calculated	Runway (months) = Unrestricted cash ÷ Average monthly burn (trailing 3 months) In words: Divide unrestricted cash by the average monthly cash burn over the past three months. The answer is the runway, in months. If the company is generating cash rather than burning it, there is no runway to compute — it is marked self-funding.
What the terms mean	Unrestricted cash — Operating and money-market balances, excluding anything restricted, escrowed, or pledged as collateral. Monthly burn — Cash going out minus cash coming in, averaged over three months, with one-time items like financing proceeds or deal costs excluded.
How it's expressed	Cash in dollars and cents; runway in months with one decimal place (blank when self-funding).
Example	\$6,250,000 on hand; 9.8 months of runway
Where the data comes from	Bank feeds (Plaid or direct connections): Daily balances per account, with each account classified as unrestricted or restricted in the connector's settings. QuickBooks (backup): Where no bank feed exists, balances from the bank-type accounts on the QuickBooks Balance Sheet are used instead — and marked as the lower-grade source.
How often it updates	Balances pulled and runway recalculated daily; the alert check also runs daily.
When it raises a flag	Watch (Amber): runway drops below 12 months. Act now (Red): runway below 6 months, or an unexplained single-day cash drop of more than 15%.
What to do about it	Flag immediately for a refinancing or capital-raise conversation.
Worth knowing	Balances in other currencies are converted daily at the official reference rate, with the original amounts kept alongside.

CB-07 Free Cash Flow Conversion

Liquidity — Free Cash Flow

What it measures	Of every dollar of EBITDA the company reports, how much actually turns into cash after capital spending and working-capital swings? Profit on paper that never becomes cash is the classic mid-market trap.
How it's calculated	Free cash flow = Operating cash flow – Capital expenditure Conversion % = Free cash flow ÷ EBITDA × 100 In words: Free cash flow is operating cash flow minus capital expenditure. Divide it by EBITDA and express as a percentage.
What the terms mean	Operating cash flow — From the cash flow statement. Capital expenditure — Purchases of equipment and capitalized software, from the investing section.
How it's expressed	A percentage with one decimal place; it can be negative or above 100%.
Example	61.3%
Where the data comes from	QuickBooks: The Statement of Cash Flows report, mapped through the standard account structure. Where the company's books can't produce one reliably, the figure is derived from Balance Sheet changes and flagged as derived.
How often it updates	Calculated and checked quarterly — monthly cash flow statements are unreliable at most mid-market companies.
When it raises a flag	Watch (Amber): conversion has declined versus plan or peers for two quarters. Act now (Red): conversion below 30% while leverage (CB-01) is above target — high debt plus weak cash generation is the dangerous combination.
What to do about it	Review capital-spending priorities; launch a working-capital initiative (see CB-10).
Worth knowing	Every alert includes a four-line bridge showing where the cash went: capital spending, working capital, cash interest, and cash taxes.

CB-10 Cash Conversion Cycle

Working Capital — Cash Conversion Cycle

What it measures	How many days cash sits tied up in the operating cycle: the days customers take to pay, plus the days inventory sits on the shelf, minus the days the company takes to pay its own suppliers. A lengthening cycle quietly drains liquidity even when the P&L looks fine.
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How it's calculated	Days to collect = $\text{Receivables} \div \text{Revenue} \times \text{Days in period}$ Days in inventory = $\text{Inventory} \div \text{Cost of goods sold} \times \text{Days in period}$ Days to pay = $\text{Payables} \div \text{Cost of goods sold} \times \text{Days in period}$ Cash conversion cycle = $\text{Days to collect} + \text{Days in inventory} - \text{Days to pay}$ In words: Days to collect: receivables divided by the period's revenue, times the days in the period. Days in inventory: inventory divided by the period's cost of goods sold, times the days in the period. Days to pay: payables divided by the period's cost of goods sold, times the days in the period. The cycle: days to collect, plus days in inventory, minus days to pay.
What the terms mean	Receivables, payables, inventory — Period-end balances from the accounting system's sub-ledgers, net of allowances. Revenue and cost of goods sold — From the P&L, using the same account mappings as VC-04.
How it's expressed	Days, with one decimal place, for each component and for the full cycle. The cycle can be negative — which means suppliers are effectively financing the business.
Example	52.3 days to collect + 18.0 days in inventory – 41.5 days to pay = a 28.8-day cycle
Where the data comes from	QuickBooks: The A/R Aging Summary, A/P Aging Summary, and Inventory Valuation Summary reports for the balances, plus the Profit & Loss for revenue and cost of goods sold.
How often it updates	Calculated monthly; the alert check runs quarterly.
When it raises a flag	Watch (Amber): the cycle has lengthened versus plan or peers for two quarters, or collections alone have slowed by more than five days quarter over quarter. Act now (Red): the cycle has lengthened by more than fifteen days over the past two quarters.
What to do about it	Push collections; renegotiate payment terms; tighten inventory.
Worth knowing	Where opening balances exist, averages of opening and closing balances are used; otherwise period-end, and the record says which. Service companies with no inventory show a zero that's hidden from display.

5. Customer & Market

Seven of the eight Customer & Market metrics ship in the MVP. These depend heavily on how well the sales and marketing teams keep their records, so each one carries built-in safeguards — alerts stay quiet when the sample is too small or the record-keeping too spotty to trust. The four marketing metrics (CM-05 to CM-08) read from one shared, standardized lifecycle funnel (Lead → MQL → SQL → Opportunity → Won), built once per company the same way the sales funnel is — so every conversion rate and sourcing figure reconciles across the portfolio. Deferred: CM-01 (Net Promoter Score), which requires survey uploads or a survey-platform connector. In CM-07, per-channel media spend relies on costs recorded in HubSpot until the ad-platform connectors ship — the blended figure is always available from the books.

CM-02 Customer Concentration (Top-10 Revenue %)

Customer Health — Concentration Risk

What it measures	How much of the past year's revenue came from the ten biggest customers, counting related entities as one customer. Heavy concentration drags down the valuation multiple and makes revenue fragile.
How it's calculated	Top-10 % = Revenue of the 10 largest customers ÷ Total revenue × 100 (trailing 12 months) In words: Add up the trailing-twelve-month revenue of the ten largest customers and divide by total revenue. The same is tracked for the top five and the single largest customer.
What the terms mean	Customer revenue — Invoice-level revenue over the trailing twelve months, rolled up so that subsidiaries of the same parent count as one customer.
How it's expressed	Percentages with one decimal place, for the top 10, top 5, and top 1. The top-5 figure also feeds the exit-readiness check (ER-05).
Example	Top 10: 47.5% · Top 5: 36% · Largest customer: 12.8%
Where the data comes from	QuickBooks and Salesforce: QuickBooks invoices are the authority on the dollars; the Parent Account field in Salesforce groups subsidiaries under their parent so related entities count as one customer.
How often it updates	Calculated monthly on a trailing-year basis; the alert check runs quarterly.
When it raises a flag	Watch (Amber): the top ten exceed the firm's comfort level (40%, by default), or their share has risen more than three points over the past year. Act now (Red): the top ten exceed 60%, or any single customer exceeds 20%.
What to do about it	Diversify the customer base; put protection plans around the largest relationships.
Worth knowing	Grouping related entities correctly matters more here than anywhere else — three subsidiaries of one parent counted separately will understate the risk. The grouping used for each calculation is saved.

CM-03 Competitive Win Rate (vs. Named Competitors)

Market Position — Competitive Position

What it measures	In deals where a specific competitor was in the running, how often does the company win? Tracked per competitor, this catches share loss to a particular rival before it ever shows up in the revenue line.
How it's calculated	Win rate % = Wins ÷ (Wins + Losses) × 100 (per competitor, trailing 2 quarters) In words: For each named competitor, over the trailing two quarters: deals won divided by deals decided (won plus lost). Deals still open, or lost to “no decision,” don't count.
What the terms mean	Wins and losses — Closed deals where the sales team recorded that competitor on the opportunity.
How it's expressed	A percentage with one decimal place per competitor, always stored with the number of deals behind it.
Example	38.5% win rate against Acme Corp, across 26 decided deals
Where the data comes from	Salesforce: The competitor field on each Opportunity, together with the Stage and Close Date. The sales team's competitive notes are pulled in as context for the alert narrative.
How often it updates	Calculated monthly on a rolling two-quarter window; the alert check runs quarterly.
When it raises a flag	Watch (Amber): the win rate against a specific competitor has dropped ten points or more versus the prior window, with at least ten decided deals in each window. Act now (Red): the same drop, with the win rate now under 30%.
What to do about it	A competitive response plan — pricing and positioning review against that specific rival.
Worth knowing	How reliably reps record competitors varies wildly. The share of closed deals with a competitor logged is tracked as a data-quality measure, and alerts are held back when fewer than a quarter of deals have one recorded.

CM-04 Pipeline Coverage Ratio

Market Position — Pipeline & Demand

What it measures	Qualified sales pipeline for next quarter, compared to next quarter's sales target. The standard rule of thumb is three dollars of pipeline for every dollar of target — this is the earliest warning that a future quarter is in trouble.
How it's calculated	Coverage = Qualified pipeline closing next quarter ÷ Next quarter's new-business target In words: Add up the value of qualified open deals expected to close next quarter, and divide by next quarter's new-business target.
What the terms mean	Qualified pipeline — Open deals that have passed the qualification stage (using SherpAI's standardized stage definitions), with close dates in the target quarter, at face value. The target — Next quarter's new-business goal from the operating plan.

How it's expressed	A ratio with two decimal places, shown with an “x”.
Example	2.40x
Where the data comes from	Salesforce: Opportunity Amount, Stage, Close Date, and Type — with each company's home-grown stage names translated onto SherpAI's standard funnel (prospect → qualified → proposal → negotiation → closed) before anything is counted.
How often it updates	Calculated weekly; the alert check runs monthly and at the start of each quarter.
When it raises a flag	Watch (Amber): coverage under 3.0x as the quarter opens (the target is adjustable). Act now (Red): coverage under 2.0x at quarter open — or under 3.0x while the win rate (CM-03) is also falling.
What to do about it	Rebalance demand-generation investment.
Worth knowing	Translating each company's stage names onto the standard funnel is the whole battle — without it, “qualified pipeline” means something different at every portfolio company and the ratio is meaningless.

CM-05 Marketing-Sourced Pipeline & Revenue %

Marketing Effectiveness — Demand Generation

What it measures	Of the qualified new-business pipeline created this period — and of the new-business revenue actually closed — what share did marketing originate, versus sales outbound, partners, and referrals? This is the headline test of whether the marketing budget is producing pipeline, not just activity.
How it's calculated	Marketing-sourced pipeline % = Marketing-originated qualified pipeline ÷ Total qualified pipeline created × 100 Marketing-sourced revenue % = Marketing-originated new-business revenue ÷ Total new-business revenue × 100 (trailing 12 months) In words: Add up the qualified pipeline created in the period whose first touch was a marketing channel, and divide by all qualified pipeline created. Do the same for closed new-business revenue on a trailing-twelve-month basis.
What the terms mean	Marketing-originated — The deal's original source in HubSpot is a marketing channel: organic search, paid media, email, content, events, or webinars. First-touch attribution is the default; the firm can switch to multi-touch, and the two are never mixed in one trend line. Qualified pipeline — Same definition as CM-04: deals past the qualification stage on SherpAI's standard funnel.
How it's expressed	Percentages with one decimal place, one for pipeline and one for revenue.
Example	38.4% of qualified pipeline; 31.2% of new-business revenue

Where the data comes from	HubSpot Marketing Hub: Original source and channel attribution per contact and deal, plus campaign associations. Salesforce and QuickBooks: Where Salesforce is the CRM, closed-won amounts come from the synced opportunity; QuickBooks first-invoice dates confirm the revenue, exactly as in VC-03.
How often it updates	Calculated monthly; the alert check runs quarterly.
When it raises a flag	Watch (Amber): the marketing-sourced share of pipeline falls two quarters in a row, or sits below the firm's target (30% of pipeline, unless the firm sets otherwise). Act now (Red): the share is falling while pipeline coverage (CM-04) is also below its target — the demand engine is weakening exactly when the pipeline can't afford it.
What to do about it	Rebalance the demand-generation mix; review the marketing–sales SLA and the campaign calendar.
Worth knowing	The attribution model in force (first-touch or multi-touch) is recorded with every figure, so a change in model can never masquerade as a change in performance. Deals with no source recorded are tracked as a data-quality share — when more than a quarter of pipeline is unsourced, alerts are held back rather than guessed at.

CM-06 Funnel Conversion Rates (Lead → MQL → SQL → Won)

Marketing Effectiveness — Funnel Efficiency

What it measures	At each stage of the standardized marketing-to-sales funnel, what share of records advance to the next stage? A single weakening stage pinpoints where the engine is leaking — and a collapsing MQL-to-SQL rate is the classic sign that marketing is shipping leads sales doesn't want.
How it's calculated	Stage conversion % = Records advancing to the next stage ÷ Records entering the stage × 100 (per stage, cohort-based) In words: Group records by the month they entered a stage (a cohort). For each cohort, count how many eventually advanced to the next stage and divide by how many entered. Cohorts are held open for a stage-appropriate maturation window before their rate is considered final.
What the terms mean	The standard funnel — Lead → Marketing-Qualified Lead (MQL) → Sales-Qualified Lead (SQL) → Opportunity → Won. Each company's HubSpot lifecycle stages are mapped onto this once at onboarding, the same way sales stages are mapped in CM-04. Cohort-based — Rates follow the records that entered together, so a surge of new leads can never dilute the measured conversion of older ones.
How it's expressed	A percentage with one decimal place per stage transition, stored with the cohort size and its maturation window.
Example	Lead → MQL 12.4%; MQL → SQL 34.8%; SQL → Won 22.1%

Where the data comes from	HubSpot Marketing Hub: The lifecycle-stage history on every contact and the date of each stage change — the one system that reliably records the full journey from first touch to handoff. Salesforce: Opportunity outcomes for the SQL → Won leg where Salesforce is the CRM.
How often it updates	Calculated monthly as cohorts mature; the alert check runs quarterly.
When it raises a flag	Watch (Amber): any stage's conversion rate falls more than 20% relative to its trailing-four-quarter average. Act now (Red): two adjacent stages deteriorate in the same quarter, or MQL → SQL falls below half its trailing average — sales is rejecting marketing's leads, which is a lead-quality problem, not a volume problem. Alerts are held back when a cohort is too small to trust — fewer than 100 leads or 30 MQLs.
What to do about it	Recalibrate lead scoring; review the marketing–sales SLA and the MQL definition; optimize the offers and landing pages feeding the weak stage.
Worth knowing	The stage mapping is decided once at onboarding and versioned like the chart-of-accounts mapping — a redefinition of “MQL” mid-year would otherwise rewrite history. Cycle time between stages is stored alongside each rate; a stage that converts fine but slows sharply gets the same scrutiny.

CM-07 Marketing ROI by Channel (Pipeline per Marketing Dollar)

Marketing Effectiveness — Spend Productivity

What it measures	For every dollar of marketing spend — blended, and by channel where attribution allows — how much qualified pipeline was created, and how much gross profit was ultimately won? This is the reallocation metric: it names the channel the next dollar should go to.
How it's calculated	Pipeline ROI = Marketing-sourced qualified pipeline ÷ Marketing spend Profit ROI = Marketing-sourced new-business revenue × Gross margin ÷ Marketing spend (gross margin as a decimal: 70% enters as 0.70) In words: Divide the qualified pipeline that marketing sourced by the marketing spend that produced it — blended across all channels, and separately per channel. For the profit version, take the marketing-sourced new-business revenue, multiply by the gross margin from VC-04, and divide by the same spend.
What the terms mean	Marketing spend — Marketing program spend, marketing software, and channel media costs, from the QuickBooks accounts classified as marketing; optionally lagged one period so spend lines up with the pipeline it produced — the same setting VC-06 uses, and the two always share it. Channel — The attribution channel from HubSpot: paid search, paid social, organic, email, events, content, and so on.
How it's expressed	Ratios with two decimal places, shown with an “x” — blended first, then per channel with each channel's share of spend.

Example	Blended 5.20x pipeline per dollar; paid search 3.10x; organic content 8.70x
Where the data comes from	HubSpot Marketing Hub: Channel attribution for sourced pipeline and revenue; campaign costs where they are recorded there. Ad platforms (Google, Meta, LinkedIn) plus QuickBooks: Channel media spend from the platforms; total marketing expense from the books. Per-channel figures are shown only when at least 80% of spend can be traced to a channel — the same rule as VC-06; otherwise only the blended figure appears.
How often it updates	Calculated monthly once the books close; the alert check runs quarterly.
When it raises a flag	Watch (Amber): blended pipeline ROI falls below the firm's target (5x, unless the firm sets otherwise), or has declined two quarters in a row. Act now (Red): any channel carrying more than 20% of marketing spend returns under 2x for two straight quarters. Opportunity (Blue): a channel returning at least double the blended ROI while receiving under 15% of spend — money is sitting in the wrong channel.
What to do about it	Reallocate budget toward the channels above the line; kill or rework the channels below it; feed the finding into the VC-06 channel-reallocation recommendation.
Worth knowing	Pipeline ROI leads and profit ROI confirms — pipeline shows up months before revenue, so the two can legitimately disagree for a while, and every alert reports both. Because this metric and VC-06 share the same spend data and lag convention, an acquisition-cost alert and a marketing-ROI alert can never quote contradictory spend figures.

CM-08 Lead Volume vs. Plan (MQL Flow)

Marketing Effectiveness — Demand Signal

What it measures	The number of marketing-qualified leads generated versus plan, and its trend. This is the earliest demand indicator in the entire framework — MQL flow moves roughly two quarters ahead of revenue, before even pipeline coverage (CM-04) reacts.
How it's calculated	Variance vs. plan % = (Actual MQLs – Planned MQLs) ÷ Planned MQLs × 100 Growth % = (MQLs this period – MQLs prior period) ÷ MQLs prior period × 100 In words: Count the contacts that reached the MQL stage in the period. Compare the count to what the operating plan called for, and track its growth period over period.
What the terms mean	MQL — A contact that crossed the marketing-qualified threshold on the standard funnel (per the CM-06 stage mapping), counted once per journey — a contact that recycles and re-qualifies counts again only after a full reset. The plan — Monthly MQL targets from the operating plan, submitted by template alongside the revenue plan.
How it's expressed	A whole-number count, with the variance to plan and the growth rate as percentages with one decimal place.

Example	1,240 MQLs in the quarter; 8.6% below plan
Where the data comes from	HubSpot Marketing Hub: Lifecycle-stage transition records — the date each contact became an MQL. Operating plan template: The monthly targets, maintained with the rest of the company plan.
How often it updates	Calculated weekly, like pipeline coverage; the alert check runs monthly.
When it raises a flag	Watch (Amber): MQL volume runs more than 15% below plan for a month, or declines two months in a row. Act now (Red): volume runs more than 25% below plan for a full quarter — or is falling while funnel conversion (CM-06) is also deteriorating, meaning fewer leads and worse leads at the same time.
What to do about it	Run a demand-generation sprint; revisit channel budgets and the campaign calendar; check whether the MQL threshold itself was quietly changed.
Worth knowing	Seasonal businesses compare against the same quarter a year earlier once two years of history exist — the same per-company setting as VC-05. A volume miss paired with healthy conversion is a budget or campaign problem; a miss paired with weak conversion is a positioning problem. The alert says which pattern it sees.

Appendix A — Where All the Data Comes From

The MVP runs on exactly three connections — the most common accounting, CRM, and marketing systems among the target companies. Billing is not a separate connector: for most companies in the target range, invoices come out of QuickBooks, so the customer-by-customer recurring-revenue roll-forward is derived from QuickBooks invoice lines. Operating-plan targets (revenue plan, MQL plan) are entered by template — the one manual input.

A.1 MVP build — the three connectors

#	Category	System	What it provides	Feeds
1	Accounting + billing	QuickBooks	The monthly books — the Profit & Loss by Class, Balance Sheet, Statement of Cash Flows, A/R and A/P Aging Summaries, and Inventory Valuation Summary — plus invoice lines and recurring transactions per customer, from which the recurring-revenue roll-forward (retention, expansion, churn) is derived	VC-01 to VC-04, VC-06, VC-07, VC-09, VC-10, VC-12 to VC-14; CB-05 (QuickBooks mode), CB-07, CB-10; CM-02; spend for CM-07
2	CRM / Sales	Salesforce	Opportunities and Accounts — Amount, Stage, Close Date, Type, Lead Source, Owner, Campaign, and competitor fields, plus the Parent Account hierarchy — with every company's stages translated onto one standard funnel	VC-03, VC-06; CM-02 grouping, CM-03, CM-04; closed-won outcomes for CM-05 and CM-06
3	Marketing automation	HubSpot Marketing Hub	Original source and channel attribution per contact and deal; lifecycle-stage history (Lead → MQL → SQL) with transition dates; campaign membership and campaign costs; form and email engagement	CM-05 to CM-08; channel data for VC-06 and CM-07

HubSpot Marketing Hub is the marketing system of record even where Salesforce remains the CRM — the native HubSpot–Salesforce sync is the most common mid-market pairing, and the connector reads attribution and lifecycle data from HubSpot while deal amounts and stages come from Salesforce. Where a company runs HubSpot as its full CRM, one connector covers both categories.

A.2 Deferred connectors — and the metrics they unlock

Category	Systems	When it earns its place
Banking	Plaid, direct bank feeds	Upgrades CB-05 from QuickBooks mode to daily bank-feed balances; unlocks CB-06 and CB-13 inputs
HR / Payroll	Rippling; ADP, Gusto later	Unlocks VC-05 (payroll growth) and VC-08 (rep profitability); key-person risk (RC-03)

Category	Systems	When it earns its place
Documents & templates	Direct upload + AI document pipeline	Unlocks the covenant family (CB-01 to CB-04, CB-08, CB-09), VC-11, the RC register metrics, and the ER checks
Market & benchmark data	PitchBook or Capital IQ	Unlocks VC-15, CB-03, CB-11; restores peer benchmarks in VC-04, VC-09, VC-10
Cap table	Carta	Unlocks the clean-cap-table exit check (ER-04)
Surveys	Template upload; Delighted, AskNicely later	Unlocks CM-01 (NPS)
Ad platforms	Google Ads, Meta, LinkedIn	Direct channel spend for VC-06 and CM-07 per-channel figures
Billing platforms	Stripe, Chargebee, Maxio	Becomes the retention system of record for SaaS-heavy companies, replacing invoice inference

A.3 Standards that apply across every connection

- **One language for the books.** Every company's chart of accounts is mapped onto one standard structure at intake, so “cost of goods sold” or “G&A” means exactly the same thing at every portfolio company.
- **One funnel for sales.** Every company's home-grown pipeline stages are translated onto one standard funnel, so “qualified pipeline” is comparable across the portfolio.
- **One funnel for marketing.** Every company's lifecycle stages are mapped onto one standard marketing funnel (Lead → MQL → SQL → Opportunity → Won) at intake — the exact counterpart of the sales-funnel standard — so “MQL” and “marketing-sourced” mean the same thing at every portfolio company.
- **One customer, one record.** Duplicate and related customer accounts are merged before anything is counted — otherwise concentration and new-customer figures are quietly wrong.
- **Raw data is never thrown away.** The original values are kept alongside the standardized ones, so anything can be audited.

Appendix B — Every Flag in One Place

A quick-reference list of every alert condition in the framework. The full context for each lives on its metric page in Sections 3 through 7.

Value Creation

ID	Metric	Checked	Flag conditions
VC-01	Gross Revenue Retention Rate (GRR)	monthly; checked quarterly	Watch (Amber): retention this quarter is lower than last quarter, or it falls below the benchmark for the sector (we use 90% unless the firm sets a different bar). Act now (Red): both of those happen in the same quarter.
VC-02	Net Revenue Retention Rate (NRR)	monthly	Watch (Amber): NRR drops below 100% in the latest period. Act now (Red): it stays below 100% for two quarters in a row, or falls below 90% in any single quarter.
VC-03	New-Logo Revenue Growth Rate	monthly; checked quarterly	Watch (Amber): new-logo growth comes in more than 10% below plan for the quarter. Act now (Red): it misses plan two quarters running, or the growth rate itself declines two quarters in a row.
VC-04	Cost of Goods Sold % and Mix (Total, by Product, by Market)	monthly once the books close	Watch (Amber): the overall cost percentage rises versus last quarter, or sits above the peer benchmark for the sector. Act now (Red): the increase is driven mainly by products genuinely getting costlier to deliver (more than one point of “rate” effect) — that's structural cost inflation, not a mix quirk.
VC-06	Customer Acquisition Cost (CAC) & Payback Period	monthly once the books close	Watch (Amber): payback stretches past the target (18 months unless the firm sets otherwise), or lifetime value falls below three times acquisition cost (see VC-07). Act now (Red): both at once, or payback beyond 24 months.
VC-07	Lifetime Value to Acquisition Cost (New Customers)	monthly; checked quarterly	Watch (Amber): the ratio falls below 3.0x, or it's above 3.0x but has declined two quarters in a row. Act now (Red): below 2.0x.
VC-09	G&A as % of Revenue	monthly; checked quarterly	Watch (Amber): G&A runs above the peer benchmark for companies of similar size and sector, or more than one point over plan. Act now (Red): both, for two quarters running.
VC-10	EBITDA Margin Trend	monthly	Watch (Amber): margin more than one point below plan this quarter, or shrinking two quarters in a row. Act now (Red): more than three points below plan, or more than five points below the peer median.

ID	Metric	Checked	Flag conditions
VC-12	Recurring Revenue % of Total	monthly; checked quarterly	Watch (Amber): the recurring share falls two quarters in a row. Act now (Red): it falls more than five points over the past year.
VC-13	Revenue Growth Rate (Recurring vs. Non-Recurring)	monthly; checked quarterly	Watch (Amber): total growth lands more than 10% below plan, or recurring revenue grows slower than total (meaning the mix is degrading). Act now (Red): growth misses plan two quarters running while the recurring share (VC-12) is also falling.
VC-14	Customer Lifetime Value to Acquisition Cost (Whole Base)	quarterly	Watch (Amber): the ratio has fallen two quarters in a row and is closing in on the 3.0x floor (at or below 3.5x and falling). Act now (Red): below 3.0x.

Capital & Balance Sheet

ID	Metric	Checked	Flag conditions
CB-05	Cash Position & Runway	daily	Watch (Amber): runway drops below 12 months. Act now (Red): runway below 6 months, or an unexplained single-day cash drop of more than 15%.
CB-07	Free Cash Flow Conversion	quarterly	Watch (Amber): conversion has declined versus plan or peers for two quarters. Act now (Red): conversion below 30% while leverage (CB-01) is above target — high debt plus weak cash generation is the dangerous combination.
CB-10	Cash Conversion Cycle	monthly; checked quarterly	Watch (Amber): the cycle has lengthened versus plan or peers for two quarters, or collections alone have slowed by more than five days quarter over quarter. Act now (Red): the cycle has lengthened by more than fifteen days over the past two quarters.

Customer & Market

ID	Metric	Checked	Flag conditions
CM-02	Customer Concentration (Top-10 Revenue %)	monthly on a trailing-year basis	Watch (Amber): the top ten exceed the firm's comfort level (40%, by default), or their share has risen more than three points over the past year. Act now (Red): the top ten exceed 60%, or any single customer exceeds 20%.

ID	Metric	Checked	Flag conditions
CM-03	Competitive Win Rate (vs. Named Competitors)	monthly on a rolling two-quarter window	Watch (Amber): the win rate against a specific competitor has dropped ten points or more versus the prior window, with at least ten decided deals in each window. Act now (Red): the same drop, with the win rate now under 30%.
CM-04	Pipeline Coverage Ratio	weekly	Watch (Amber): coverage under 3.0x as the quarter opens (the target is adjustable). Act now (Red): coverage under 2.0x at quarter open — or under 3.0x while the win rate (CM-03) is also falling.
CM-05	Marketing-Sourced Pipeline & Revenue %	monthly; checked quarterly	Watch (Amber): the marketing-sourced share of pipeline falls two quarters in a row, or sits below the firm's target (30% of pipeline, by default). Act now (Red): the share is falling while pipeline coverage (CM-04) is also below target.
CM-06	Funnel Conversion Rates (Lead → MQL → SQL → Won)	monthly as cohorts mature	Watch (Amber): any stage's conversion rate falls more than 20% relative to its trailing-four-quarter average. Act now (Red): two adjacent stages deteriorate in the same quarter, or MQL → SQL falls below half its trailing average. Alerts held back below minimum cohort sizes (100 leads / 30 MQLs).
CM-07	Marketing ROI by Channel (Pipeline per Marketing Dollar)	monthly once the books close	Watch (Amber): blended pipeline ROI below target (5x, by default) or declining two quarters running. Act now (Red): a channel carrying more than 20% of spend returns under 2x for two straight quarters. Opportunity: a channel at double the blended ROI on under 15% of spend.
CM-08	Lead Volume vs. Plan (MQL Flow)	weekly; checked monthly	Watch (Amber): MQL volume more than 15% below plan for a month, or declining two months in a row. Act now (Red): more than 25% below plan for a full quarter, or falling while funnel conversion (CM-06) is also deteriorating.

Appendix C — Plain-English Glossary

Term	What it means
Attribution	The rules deciding which marketing touch gets credit for a deal. First-touch credits the very first interaction; multi-touch spreads credit across the journey. The model in force is recorded with every figure.
Blended	Averaged across everything rather than broken out — a blended acquisition cost covers all channels together.
Churn	Customers (or their revenue) leaving. Revenue churn weights by dollars; a small customer leaving matters less than a large one.
Demand generation	The marketing activity whose job is producing qualified pipeline — campaigns, content, paid media, events — as opposed to brand work.
EBITDA	Earnings before interest, taxes, depreciation, and amortization — the standard shorthand for operating profitability, and the basis for most valuations and covenants.
Fully loaded	The true, all-in cost of an employee: wages plus employer taxes, benefits, and allocated overhead — not just salary.
Lead scoring	The point system that decides when a contact has shown enough interest and fit to count as marketing-qualified. Miscalibrated scoring floods sales with leads it rejects — visible as a collapsing MQL-to-SQL rate.
Lifecycle stage	A contact's position on the marketing-to-sales journey (lead, MQL, SQL, opportunity, customer) — the marketing counterpart of a deal's pipeline stage.
MQL (marketing-qualified lead)	A contact that has crossed the agreed threshold of interest and fit — marketing believes sales should see it.
New logo	Sales shorthand for a brand-new customer — the customer's logo joins the wall. New-logo revenue is revenue from first-time customers, as opposed to expansion of existing ones.
Recurring revenue (MRR / ARR)	Revenue that repeats by contract — subscriptions and the like. MRR is the monthly figure; ARR is simply twelve times that.
Roll-forward	A schedule that walks a balance from start to finish: opening amount, plus additions, minus reductions, equals closing amount. Used here for customer revenue the way treasurers use it for debt.
Runway	How many months the cash on hand lasts at the current burn rate.
SLA (marketing–sales)	The internal service agreement between the two teams: what marketing promises to deliver (lead volume and quality) and how fast sales promises to work each lead.
Sponsor	The private equity firm that owns the company. “Sponsor-backed” simply means PE-owned.
SQL (sales-qualified lead)	An MQL that sales has accepted as worth pursuing after its own review — the handoff point between the two funnels.

Term	What it means
Trailing twelve months (TTM / LTM)	The last full year of results, ending now — rather than the last calendar or fiscal year.

— End of the MVP Edition. Metric IDs are permanent and identical to the full framework; alert thresholds are adjusted through firm settings, never by rewriting the metric itself. —